CASCADIA ANALYTICS

INVESTMENT SCORECARD

CSX

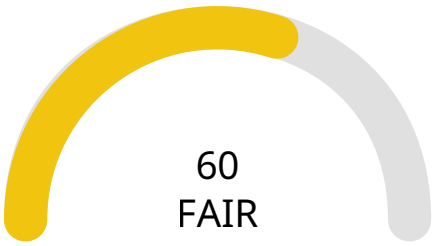
CSX Corporation (NASDAQ)

As-of: 17-Oct-2026 | Latest Filing: Q2 2026 (8-K) | Currency: USD

$48.08 [Mkt 16-Oct-26]

Market Cap: $90.2B [Mkt 16-Oct-26]

Attractiveness Score



Confidence: **Medium** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 78

Eastern Class I duopoly with one of two networks east of the Mississippi. 38.3% operating margin and 61.7% OR improving. Heavy moat, but revenue fell three straight years and leverage is high (D/E 1.43x).

2. Recent Trend — 72

Record Q2: revenue +10%, EPS +23%, OR -2.4pts, FCF swung to +$687M. Volume rebound broad-based. But annual revenue declined 2022-2025 and net margins compressed 27.7% to 20.5%.

3. Forward Growth — 58

Management guides mid-to-high single digit revenue growth with margin +350bps. Intermodal conversions have legs. Railroads are structurally low-growth, low-double-digit at best, and the DCF embeds the same.

4. Valuation — 38

DCF base $23.72 sits 51% below the $48.08 spot. Reverse DCF implies 19.2% revenue CAGR, above our $29.17 bull case. Market prices perfection on a 4-5% grower. Terminal value is the Gordon perpetuity alone at 2.5% growth on terminal-year free cash flow. The EV/EBITDA exit leg on terminal EBITDA (11.0x bear, 14.5x base, 15.0x bull) is retained in the model as a cross-check and is not used in the valuation. In the base case the Gordon leg is $67.5B and the exit leg is $125.9B. At the model's terminal discount rate the exit leg implies 5.31% perpetual growth against the 2.5%

assumed, and the growth-consistent exit multiple is 7.8x against the 14.5x used. The present value of terminal value is 75.7% of enterprise value (bear 74.8%, bull 76.1%). Cash flows are unlevered and are discounted at a weighted WACC of 8.72%: the live CAPM cost of equity blended with an after-tax cost of debt at market-value weights (corrected 2026-10-22; the prior build discounted unlevered FCF at cost of equity alone, 9.46%).

5. Catalysts & Risk 58

Q3 earnings on Oct 21 are a two-sided test against a high bar. COO retired Oct 12, adding execution transition risk. Strong momentum offset by macro sensitivity and full valuation.

Investment Thesis

- **Eastern Rail Duopoly:** One of two Class I railroads east of the Mississippi. Operating margin 38.3%, OR down to 61.7% and improving, ROE ~25%. The moat is structural [PR 22-Jul-26].
- **Record Q2, Raised Guide:** $3.94B revenue (+10.1%), EPS $0.54 beat $0.52. FY2026 guide raised: revenue mid-to-high single digits, margin +350bps, FCF +80%. Truck-to-rail conversions are real [PR 22-Jul-26].
- **Market Prices Perfection:** At $48.08 [Mkt 16-Oct-26], the reverse DCF implies 19.2% revenue CAGR, above our $29.17 bull case. Great business, full price. We rate the shares Hold, Valuation Concerns, and we would not sell into strength: the business is healthy, and the price is the problem.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 2026)	$3.94B [PR 22-Jul-26]	+10.1% [PR 22-Jul-26]	Up
EPS (Q2 2026)	$0.54 [PR 22-Jul-26]	+23% [PR 22-Jul-26]	Up
Operating Ratio (Q2 2026)	61.7% [PR 22-Jul-26]	-2.4 pts [PR 22-Jul-26]	Improving
Volume (Q2 2026)	1.68M units [PR 22-Jul-26]	+6.0% [PR 22-Jul-26]	Up
Free Cash Flow (Q2 2026)	$687M [FW 22-Jul-26]	vs -$115M [FW 22-Jul-26]	Up

FY2025 Revenue	$14.1B [Inc 17-Oct-26]	-3.1% [Inc 17-Oct-26]	Down
Quarterly Dividend	$0.14 [MarketBeat]	n/a	Flat

Historical Financial Trend

Metric	2022	2023	2024	2025	TTM
Revenue	$14.9B [Inc 17-Oct-26]	$14.7B [Inc 17-Oct-26]	$14.5B [Inc 17-Oct-26]	$14.1B [Inc 17-Oct-26]	$14.5B [Inc+calc]
Net Margin	27.7% [Inc 17-Oct-26]	25.0% [Inc 17-Oct-26]	23.9% [Inc 17-Oct-26]	20.5% [Inc 17-Oct-26]	22.2% [Inc+calc]
FCF Margin	23.0% [Inc 17-Oct-26]	22.2% [Inc 17-Oct-26]	18.7% [Inc 17-Oct-26]	12.1% [Inc 17-Oct-26]	n/a [n/a]

Valuation

Absolute (3/10)

DCF Base $23.72 [DCF 16-Oct-26]
Forward P/E 21.3x [Mkt 17-Oct-26]
PEG 1.75 [Mkt 17-Oct-26]

Base target is 51% below spot. Reverse DCF implies 19.2% revenue CAGR, above our bull case. Expensive in absolute terms.

Versus Peers (5/8)

Class I peers ~15-18x EV/EBITDA [Mkt]
CSX 17.2x TTM / 15.6x NTM [Mkt 17-Oct-26]

CSX trades in line to rich vs NSC/UNP with no discount for slower volume growth. No relative value.

Versus History (5/7)

52-wk range $33.63-$53.60 [Mkt 16-Oct-26]
At $48.08 near the top of range

Multiples sit near cycle highs after the 2025 recovery rally; less room for multiple expansion from here.

Catalyst Timeline

Oct 21, 2026 [Cons]
Q3 2026 Earnings (Two-Sided): consensus EPS $0.53 and revenue $3.95B; tests whether the Q2 beat and raised guide held into H2.

2027 [Call Q2'26]
Highway-to-Rail Conversions (Positive): tight truck supply and pricing power keep intermodal/merchandise volume growing mid-single digits.

Top Risk Factors (Item 1A)

1. Overvaluation vs Model: Base case $23.72 is 51% below spot; even the $29.17 bull case trails the stock, and all three cases sit below the current price. The market's implied 19.2% revenue CAGR prices in flawless execution we do not see. [DCF 16-Oct-26]

2. Coal Exposure: Coal remains a double-digit share of revenue and is structurally declining; intermodal and merchandise must keep offsetting it. [Zacks 16-Oct-26]

Ongoing [PR 22-Jul-26]
Operating Ratio Path to Sub-60% (Two-Sided): OR improved to 61.7% in Q2; further productivity gains are the margin lever.

What Would Change Our Score

We rate the shares Hold, Valuation Concerns. The Q2 2026 print was Bullish, with net income up 24.5% year over year and an EPS beat, and the broader picture holds net income essentially flat year over year with steady free cash flow, so we see a healthy business rather than a deteriorating one, and we would not sell into strength. The Valuation Concerns qualifier reflects the price: all three cases, $17.79, $23.72 and $29.17, sit below the current price, and our base case sits 51% below the $48.08 reference price. A Q3 2026 miss or operating ratio deterioration would be the kind of business deterioration that could change our view. Conversely, sustained mid-single-digit volume growth with the operating ratio moving toward sub-60% could make the market implied growth credible and lift the Valuation score.

3. Labor Costs and Service Execution: High labor costs and rail network disruptions were flagged as Q3 headwinds. Union labor is the largest controllable cost and bargaining power sits with labor. [Zacks 14-Oct-26]

4. Leverage and Capex Intensity: $18.9B of debt on a 1.43x debt-to-equity ratio with a 0.81 current ratio. Capex runs ~$2.4B a year; FCF can swing hard in a downturn. [Inc 17-Oct-26]

Forward Growth Drivers

- Highway-to-rail freight conversions as trucking capacity stays tight [Call Q2'26]
- Intermodal volume +9% YoY leading broad-based carload growth [PR 22-Jul-26]
- Raised FY2026 guide: revenue mid-to-high single digits, operating margin +350bps, FCF +80% [PR 22-Jul-26]
- $0.14 quarterly dividend plus buybacks as cash generation recovers [MarketBeat]

Missing / Modified Data Log

- FY2021 annual row in income_charts.json is a mislabeled single quarter ($3.4B revenue vs $12.5B+ actual); excluded from all trends.
- TTM FCF margin unavailable: quarterly cash flow series not collected; used reported Q2 FCF only.
- Peer multiples for NSC/UNP not in local data; peer section is qualitative vs Class I rails.
- 5-year operating-ratio history not collected locally; used Q2 2025 vs Q2 2026 reported figures.

This scorecard is for educational and informational purposes only. It is not financial, investment, or tax advice, and nothing here is a recommendation to buy or sell any security. It is generated by an AI model and does not consider your individual circumstances. All figures are approximate, may be out of date, and are not guaranteed to be accurate. Verify independently and consult a licensed professional before investing. You are responsible for your own investment decisions.

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